Summing up

We in India revere success and wealth, and there is a lot of respect for business folk. We tend to assume (say) that sound HR practices in TCS will work well in government. But we should be cautious when thinking about transferring expertise into the world of public policy.

Companies have feedback loops where the daily MIS shows how things are faring, where quarterly financial statements are put out, and the stock price is updated in real time. When mistakes are made, they kick off corrections. Governments have no comparable feedback loops.

Most firms operate in competitive marketplaces. When mistakes are made, they lose customers. Governments have hostages, not customers, and there is no choice.

Firms wield no coercive power. They have to be nice to customers all the time. Governments wield coercive power. The danger of functionaries that mistreat individuals is ever-present. Process design for government organizations involves establishing checks and balances against this threat.

Big firms are small compared with government organizations.

A lot of decisions in private firms can be tactical. Governments become the most effective when they establish rules rather than discretion, and eschew day-to-day tactical responses. Governments are bound by equal treatment (Article 14 of the Constitution of India) while private firms have no such constraint.

The management of a private firm is often quite autocratic. Successful governments, in contrast, do not have a CEO. Success comes from a long process of debate, negotiation and compromise.

Firms tend to work on short time horizons. The best governments work on long time horizons.

For all these reasons, the expertise on the working of private firms does not carry over into public policy, and vice versa. A country is not a company. [1]